

FIGURE 9-2			
WHAT, ME ITEMIZE?			
A lot of young people think they don't earn enough to itemize. But consider the case of Jennifer, who recently left her job at a small architecture firm in Denver to work for a design company in New York City. (Moving costs: \$1,400.) Her salary is \$38,000, and she rents a studio apartment. She just bought a computer (\$2,000) and a fax machine (\$80) so she can do more work at home; her boss told her to buy them so that he could fax her work from his summer house, but he didn't pay for it. Jennifer uses the computer and fax exclusively for work. Before moving, she donated a couch, a dresser, and a bed to the Salvation Army. She also donated three shopping bags full of old clothes. (Total value of her donations: \$2,000.) She paid out \$2,000 in interest on her student loans in the past year. To see why it makes sense for her to itemize her deductions on the 1040 rather than take the standard deduction on the 1040A or EZ, take a look at the table below.			
	1040EZ	1040A	1040
Total Income	\$38,000	\$38,000	\$38,000
(minus) Student loan interest payments	0	2,000	2,000
(minus) Moving expenses	0	0	1,400
ADJUSTED GROSS INCOME (AGI)	38,000	36,000	34,600
Personal exemption	3,650	3,650	3,650
Charitable contributions	0	0	2,000
State and local taxes	0	0	3,129
Miscellaneous and business expenses*	0	0	1,388
Other itemized expenses	0	0	0
Total itemized deductions or standard deduction (whichever is greater)	5,700	5,700	6,517
EXEMPTION PLUS DEDUCTIONS	9,350	9,350	10,167
TAXABLE INCOME (AGI minus personal exemption and deductions)	28,650	26,650	24,433
FEDERAL TAX OWED	3,880	3,580	3,264
* Here's how you get \$1,388 in miscellaneous and business expenses in the 1040 column. First, you calculate that 2% of Jennifer's AGI (\$34,600) is \$692. Then you subtract that amount from the \$2,080 (\$2,000 for the computer and \$80 for the fax machine) in total miscellaneous and business expenses.			

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A Rundown of the Tax Forms

The easiest way to access tax forms is online, at www.irs.gov. Here are the basic forms you'll have to choose from:

- **1040EZ.** The IRS's 1040EZ is so named because it's the easiest to fill out. It's generally for single people, or couples filing jointly, with taxable income less than \$100,000. To use this form, you must also earn less than \$1,500 in taxable interest (from investments or savings accounts). You can't itemize your deductions on the EZ; it's meant for people who are best off with the standard deduction. Two good reasons